CB monthly update - PH

Apr 2025

CB monthly meeting agenda

1. **Overall**
   a. CB OKR
   b. CB Topline & P&L
   c. CB Competitor Intelligence

2. **Commercial**
   a. [For Update] SLS (Ashley Yang)
   b. [For Update] SCS (Ang Li)
   c. [For Updates] Lovito (Yiqin Wang)

3. **Programs/Others**
   a. [For Update] MP LFF and Choice LFF (Ashley Yang)
   b. [For Update] Operations (Ashley Yang) - *Fast delivery, XDD update*
   c. [For Update] Others specific to local market (Ashley Yang) - *SEA/KR/JP Fashion seller onboarding*

Follow up items from last meeting

Follow-ups from last meeting (1/3)

No.	Topic	Action Items / Aligned Direction	PIC	ETA	Update
1	Temu	Co-work with DC crawler team to increase Temu front-end crawling frequency and to track Temu PH price competitiveness more frequently	Derek Cheng	Pending on DC's feedback, trying to push ASAP	DC crawler team currently committed to monthly crawling; feasibility of biweekly crawling to be determined each month
2	SCS	For Local SCS, improve ABS in the long term to 5-6$. Short term, we expect lower ABS for topline and seller management considerations. For CB SCS, working on ABS improvement plan and will update if ready	Larry Lin / Sruti Kattoor	Aligned Direction	CN SCS: We have already taken operational actions: 1.high MBS shop voucher 2.set bundle deal and increase SKU coverage For long-term plan, assortment team will start to source SKUs over $3 to make a balance, and try to gradually increase ABS to $3.00. Local SCS: 1) While we source from top SPUs, we exclude models with item price <50 php 2) For Video - we push higher ASP items with min spend 250 PHP (~4 USD) 3) Expect to improve ABS to 3$ by EOY

Follow-ups from last meeting (2/3)

No.	Topic	Action Items / Aligned Direction	PIC	ETA	Update
3	Lovito	Revisit refine series assortment and sales channel investment plan and come up with updated plan	Vega Song	4 Mar	Lovito update refine plans WIP (Will progressively increase monthly refine new products, ttl refine listing# current 500 increase to 2k by year end) Next step will discuss with PH team regarding dedicated support for refine series
4	Lovito	• Aligned to switch paid ads to CPAS based on 110% ADG achievement • ADG target has to be aligned with PH team and fixed for the whole year, will align with FPA	Vega Song	4 Mar	Aligned to switch paid ads to CPAS for Apr~Dec with submitted topline

Follow-ups from last meeting (3/3)

No.	Topic	Action Items / Aligned Direction	PIC	ETA	Update
5	SIP	Approved for PH to participate in regional rollout of Global Seller Center x Direct Selling	Cuiwei Sun	7 Mar (to update on rollout timeline)	PH global SC target go-live by end-Jul; Direct selling biz launch for both PHMY and PHSG lanes likely in Sep after logistics channel (SPX 1 AWB) is built in place
6	SIP	Explore TW-PH route impact potential and update in next PHCB meeting	Cuiwei Sun / Rey Valero	21 March	Reg PMO is in progress of putting together the “Guidebook” of assortment needed by PH platform, subsequently SIP (alongside other biz lines) to propose how we can source the SKUs for PH (from TW or other SIP lanes)
7	OOS	Aligned to use ATP instead of OOS across markets	Jason Yu	7 Mar (to consolidate and align definition)	ATP definition aligned with Reg WH to use weighted ATP; Reg WH will consolidate and roll out across all BUs
8	CNLS	Account transfer 1. For sellers with negative feedback on CN RMs, to investigate and align with both sides on next steps 2. Share new shoplist for review	Ray Wang	1. 7 March 2. Completed	1. Investigated a total of 8 sellers with negative feedback on CN RMs; propose to transfer 2 sellers to CN CNLS, 4 sellers stay in local, and 2 sellers（舰长/超辉煌）pending confirmation of seller willingness through JH/KJ seller visit W3 of April（舰长）; 2. Aligned with PH CNLS, and propose to transfer 745 shops to CN CNLS, 600 shops stay in local, and 8 shops (under 舰长) pending further confirming seller willingness

[Backup] [PH account transfer update- Batch 1]: further investigated 8 sellers with negative feedback, 2 sellers propose to move to CN CNLS, 4 sellers keep in PH CNLS, and 2 sellers pending further confirmation

		Advantages for CN Management		Advantages for PH Management			
	Seller	Comprehensive market overview	Centralized communication	Better local knowledge and alignment with market cadence	Problem solving efficiency	Better resource support	Proposed next steps
1	蓝狮	Y	Y				Move to CN CNLS
	Maimeite	Y	Y				
2	舰长	Y	Y	Y	Y	Y	Pending further confirmation of seller willingness with feedback resolution plan and update
	超辉煌	Y	Y		Y	Y	
3	英利电子			Y	Y	Y	Keep in PH CNLS
	Xingxing			Y	Y	Y	
	South Ocean			Y	Y	Y	
	Goojodoq			Y	Y	Y	

Reg CNLS proposal on account transfer & Next steps

1. Sellers **move to CN CNLS** (assuming same level of resources is provided) as sellers prefer CN management advantages : Aolon (also known as 蓝狮)/ Maimete (ADO: 690)
2. Sellers **pending further confirmation of seller willingness** with feedback resolution plan and update as sellers **acknowledge advantages on both sites:** 舰长/超辉煌 (ADO: 10,184)
3. Sellers **keep in PH CNLS** due to seller not acknowledging CN management advantages: 英利电子/ Xingxing/ South Ocean/ Goojodoq (ADO: 5,371）

[Backup] [PH account transfer update- Batch 2]: 745 shops proceed to transfer to CN CNLS, 600 shops stay in local, and 8 shops pending further confirmation of seller willingness

Mgmt. Team	Breakdown		Shop number	Feb ADO	Reg/PH Local CNLS Alignment
Local Cluster	**I**	**Managed**	415	49,306	**Keep in local**
	II	**Unmanaged**	891	4,679	
		- GGP w/ CN mgmt in other sites	*712*	*3519*	**Transfer to CN CNLS**
		- GGP w/o CN mgmt in other sites	*179*	*1160*	**Keep in local**
	Local Cluster Managed Total		**1,306**	**53,985**	
Local CNLS	**I**	**Seller acknowledge benefit on both sides and provided negative feedback**	8	265	**Pending further confirmation of seller willingness**
	II	**Has a managing partner based in Local, and prefer stay in local**	3	189	**Change type, and keep in local**
	III	**Maintains separate shop ops teams per site for deeper localization, and don't appeal to CN's strategic benefit**	3	1,003	**Keep in local**
	Seller is ok to transfer		22	3,385	**Transfer to CN CNLS**
	Unresponsive Seller		11	570	**Transfer to CN CNLS**
Total			**1,353**	**59,397**	

Account transfer status & Next steps

- Seller **transfer to CN CNLS :** mainly 712 shops w/ CN mgmt in other sites, and 33 shops following their willingness (est. ADO: 7,474)
- Seller acknowledge benefit on both sites, **account transfer pending from JH/KJ visit to confirm seller willingness during W3 of April as batch 1**: 8 shops from 舰长 (ADO: 265)
- Seller **stay in local** cause already managed or overseen only by local cluster/ type (to be) change(d) : 600 shops (ADO: 51,658)

Topic 1: Overall CB budget/ FP&A update

PHCB OKR I PHCB closed March with all OKRs hit, topline contribution to platform continues growth momentum, ops metrics improving MoM

MTD data range: Mar 1- 31
PnL data range: Mar 1 - 31

Market	CB OKR	Feb-25	Mar-25	Mar-25	MTD Actual	
		Actual	Actual	Target	vs. Target%	Mar vs Feb MoM (%)
PH	**CB ADG as % of SHP**	19.2%	19.60%	19.3%	101.6%	0.4%
	CB ADO as % of SHP	21.7%	23.20%	22.2%	104.5%	1.5%
	CB ADG share in PH (TTS + LZD)	55.40%	monthly update	54.3%		
	CB EBITDA as % CB GMV	2.5%	0.80%	0.7%	114.3%	-1.7%
	LS ADG as % CB	5.2%	4.90%	4.7%	104.3%	-0.3%
	Video ADG as % CB	6.4%	7.30%	5.8%	125.9%	0.9%
	LS ADO as % CB	6.2%	5.40%	5.1%	105.9%	-0.8%
	Video ADO as % CB	8.0%	10.10%	7.5%	134.7%	2.1%
	CB average BWT	6.11	5.01	5.46	91.8%	-18.0%
	CPO for CB	1.39	1.34	1.40	95.7%	-3.6%
	Same Day shipout %	81.9%	86.70%	82.4%	105.2%	4.8%
	XDD + NDD coverage %	33.3%	39.80%	32.4%	122.8%	6.5%
	Ship from Local ADO% of CB and CN Managed CNLS Seller	45.1%	43.80%	43.6%	100.5%	-1.3%
	% net price competitiveness vs TTS	57.00%	61.90%	40.0%	154.8%	4.9%
	..% Bidding winning SKU ADO Coverage	8.90%	13.40%	9.9%	135.4%	4.5%
	CB SCS + Lovito ADO% of CB ADO	10.1%	10.80%	8.7%	124.1%	0.7%
	CB SCS Shop P&L	$6,808	214,458	-305,181	270.27%	3050.09%
	Lovito Shop P&L	-$98,418	-231,666	-365,059	136.5%	-135.39%

Mar Cluster Performance | CB leading platform growth across all clusters, low ASP cats drive ADO% coming from increased PLT CIR showing competitiveness of CB SKUs

Data as of Mar 31	ADGMV			ADGMV%			ADO			ADO%			ABS		
vs M-1 FM	Mar	MoM	Target RR	Mar	MoM	Target RR	Mar	MoM	Target RR	Mar	MoM	Target RR	Mar	MoM	Target RR
OVERALL	**5,470,709**	**8.2%**	**104.8%**	**19.6%**	**0.5%**	**101.5%**	**934,111**	**16.3%**	**109.8%**	**23.2%**	**1.5%**	**104.5%**	**5.9**	**-0.4**	**95.5%**
Electronics	**1,453,718**	**16.0%**	**109.2%**	**24.8%**	**0.6%**	**103.2%**	**223,791**	**14.1%**	**106.0%**	**43.7%**	**1.2%**	**101.3%**	**6.5**	**0.1**	**103.1%**
Mobiles Accessories	466,982	4.1%	100.3%	54.6%	0.3%	99.9%	152,303	15.3%	108.4%	63.9%	1.7%	100.3%	3.1	-0.3	92.5%
Mobiles & Gadgets	346,069	49.9%	130.4%	18.4%	2.8%	116.9%	10,131	16.4%	97.9%	37.1%	3.1%	106.5%	34.2	7.6	133.2%
Audio	130,264	2.6%	94.3%	25.7%	0.4%	100.6%	19,440	3.6%	92.8%	34.2%	0.6%	99.3%	6.7	-0.1	101.6%
Cameras	100,493	14.5%	109.6%	24.7%	1.7%	106.8%	4,386	7.5%	99.7%	21.9%	1.3%	103.7%	22.9	1.4	110.0%
Gaming	14,358	2.1%	91.7%	18.5%	-0.7%	95.4%	1,609	3.3%	90.0%	37.2%	0.7%	99.5%	8.9	-0.1	101.9%
Home Appliances	178,517	44.8%	127.6%	16.8%	2.2%	114.1%	14,095	41.0%	121.2%	14.6%	1.4%	107.9%	12.7	0.3	105.2%
Home Entertainment	12,535	-5.8%	88.0%	9.9%	-1.6%	85.7%	2,694	0.3%	98.8%	28.7%	-3.5%	87.2%	4.7	-0.3	89.1%
Laptops & Computers	204,499	-2.1%	102.0%	21.7%	-0.2%	98.0%	19,133	4.7%	101.5%	32.1%	1.2%	100.5%	10.7	-0.7	100.4%
Fashion	**1,097,703**	**7.6%**	**104.4%**	**24.5%**	**0.6%**	**102.3%**	**226,125**	**21.8%**	**114.5%**	**25.2%**	**2.6%**	**109.2%**	**4.9**	**-0.6**	**91.2%**
Men's Apparel	142,112	10.8%	108.4%	19.0%	0.8%	103.6%	18,648	18.0%	110.9%	15.2%	1.4%	106.8%	7.6	-0.5	97.7%
Men's Bags & Accessories	169,852	2.2%	95.3%	45.7%	0.7%	100.5%	45,390	16.0%	104.2%	52.6%	3.4%	104.2%	3.7	-0.5	91.5%
Men's Shoes	35,782	5.5%	93.5%	9.5%	0.3%	102.0%	4,590	10.8%	98.3%	8.7%	0.7%	106.6%	7.8	-0.4	95.2%
Women Accessories	234,368	4.2%	105.7%	45.8%	3.1%	106.2%	75,713	31.4%	129.2%	53.6%	7.3%	112.9%	3.1	-0.8	81.8%
Women's Apparel	339,744	13.1%	110.8%	20.6%	0.6%	102.1%	54,776	20.2%	113.8%	16.3%	1.3%	105.8%	6.2	-0.4	97.3%
Women's Bags	78,200	-6.2%	91.6%	25.7%	-0.3%	98.2%	8,248	-4.6%	90.0%	17.4%	-0.6%	93.7%	9.5	-0.2	101.8%
Women's Shoes	97,646	17.3%	108.4%	18.7%	1.4%	106.8%	18,760	27.4%	113.9%	17.0%	2.1%	111.2%	5.2	-0.4	95.2%
FMCG	**1,266,459**	**3.2%**	**100.8%**	**16.1%**	**-0.3%**	**96.8%**	**242,843**	**17.3%**	**112.0%**	**18.4%**	**0.9%**	**103.0%**	**5.2**	**-0.7**	**90.0%**
Babies & Kids	201,420	14.2%	109.8%	13.3%	0.8%	105.7%	41,053	25.0%	116.3%	15.5%	1.5%	108.0%	4.9	-0.5	94.4%
Groceries	52,819	14.6%	113.2%	4.3%	0.3%	106.8%	12,067	17.0%	111.7%	7.8%	0.7%	106.7%	4.4	-0.1	101.3%
Health & Personal Care	353,176	3.7%	102.1%	13.6%	-0.2%	97.8%	62,539	13.8%	108.4%	13.6%	0.3%	99.8%	5.6	-0.5	94.2%
Makeup & Fragrances	282,021	5.8%	107.9%	29.1%	0.2%	99.7%	89,094	23.6%	122.2%	36.8%	2.0%	103.0%	3.2	-0.5	88.3%
Pet Care	53,679	9.7%	108.0%	7.1%	0.3%	103.8%	9,966	18.8%	113.0%	9.8%	0.7%	104.6%	5.4	-0.4	95.6%
Toys, Games & Collectibles	323,344	-7.3%	87.5%	41.9%	-3.7%	91.1%	28,125	-1.3%	89.6%	29.7%	-1.9%	91.8%	11.5	-0.7	97.6%
Lifestyle	**1,645,757**	**6.2%**	**104.1%**	**17.0%**	**0.6%**	**102.6%**	**241,301**	**12.8%**	**107.0%**	**18.5%**	**1.3%**	**105.0%**	**6.8**	**-0.4**	**97.3%**
Hobbies & Stationery	137,281	-5.5%	93.8%	15.0%	0.3%	101.1%	35,312	6.4%	102.0%	20.7%	2.1%	108.6%	3.9	-0.5	91.9%
Home & Living	624,998	6.3%	103.4%	13.9%	0.6%	103.3%	90,691	12.8%	106.4%	14.7%	1.0%	105.1%	6.9	-0.4	97.2%
Motors	451,056	5.5%	109.1%	16.8%	0.4%	101.6%	67,705	13.9%	115.1%	21.5%	1.4%	104.3%	6.7	-0.5	94.7%
Sports & Travel	432,422	11.1%	103.9%	27.0%	0.8%	102.4%	47,593	16.3%	101.7%	23.4%	1.1%	102.5%	9.1	-0.4	102.2%

Key Highlights

Higher platform CIR% drives penetration uplift in low ABS categories:

1. **Mobiles Accessories** (ADO% +1.7pp, ABS -$0.3): Cheap cases and powerbanks
2. **Women Accessories** (ADO% + 7.3pp, ABS -$0.8): Hair accessories and jewelry
3. **Makeup & Fragrances** (ADO% +2.0pp, ABS -$0.5): Nails and eye makeup

CB's GMV contribution increased mostly driven by new releases and seasonal trends in Electronics categories:

4. **Mobiles & Gadgets** (ADG% +2.8pp): New launches from Xiaomi (Pad 7) and Poco (X7)
5. **Home Appliances**(ADG% +2.2pp): Summer season starts to pick up as Jisulife portable fans drive category demand.

Mar'25 CB P&L overachieved in almost all metrics

	Mar 2025	Feb 2025	Mar 2025				Apr 2025
PH CB Performance		Actual	Projected Actuals	Target	RR	MoM	Target
Overall CB*	CB Gross ADO	802,882	934,111	850,993	110%	▲16%	813,930
	CB ADO %	21.7%	23.2%	22.2%	104%	▲2%	22.1%
	CB ADGMV ($)	5,055,756	5,470,712	5,220,086	105%	▲8%	5,019,294
	CB ADGMV (%)	19.2%	19.6%	19.3%	102%	▲0%	18.9%
	ABS ($)	$6.3	$5.9	$6.1	95%	▼7%	$6.2
MP P&L	Revenue ($)	21,797,109	27,437,752	24,326,172	113%	▲26%	22,670,214
	PRM ($)	18,175,416	26,200,259	22,597,646	116%	▲44%	18,325,442
	PC2 ($)	2,394,163	-236,492	433,945	-154%	▼110%	3,049,794
	PC2 %	1.7%	-0.2%	0.3%	-158%	▼2%	2.0%
	Take Rate %	15.4%	16.2%	15.0%	108%	▲1%	15.1%
	CIR %	12.8%	15.4%	14.0%	111%	▲3%	12.2%
CBWH P&L	WH ADO	56,437	65,636	58,522	112%	▲16%	64,310
	WH Revenue ($)	447,637	584,314	514,122	114%	▲31%	529,049
	WH Cost ($)	-536,495	-781,079	-744,007	105%	▲46%	-815,401
	WH P&L ($)	-88,858	-196,765	-229,885	86%	▲121%	-286,352
	WH P&L (%)	-19.9%	-33.7%	-44.7%	75%	▲70%	-54.1%
Lovito	Lovito ADO	12,043	12,127	10,704	113%	▲1%	12,148
	Lovito ADGMV ($)	75,413	77,136	65,697	117%	▲2%	78,845
	Lovito Standalone P&L ($)	-95,706	-164,516	-365,062	55%	▲72%	-97,944
SCS	SCS ADO	69,176	83,719	63,375	132%	▲21%	65,152
	SCS ADGMV ($)	185,598	199,724	166,018	120%	▲8%	159,752
	SCS Standalone P&L ($)	113,744	121,999	-305,181	140%	▲7%	-25,385
SLS	SLS P&L ($)	5,703,530	6,901,727	6,086,814	113%	▲21%	5,286,884
	SLS Outbound Orders	13,724,451	16,203,481	15,025,474	108%	▲18%	12,759,617
	SLS Profit/Outbound Order	$0.42	$0.43	$0.41	105%	▲2%	$0.41
PHCB Total P&L		8,026,873	6,425,953	5,620,630	114%	▼20%	7,926,997

*PHCB Total P&L = MP + CBWH + Lovito standalone + SCS standalone + SLS P&L
*Gross topline numbers final, P&L numbers to actualize

Overall CB

- Mar toplines overachieved targets with only ABS behind due to released FS0 FSVs on platform

MP P&L

- CIR significantly higher MoM with additional spending from platform in the form of FSVs and DVs throughout the month

CB WH P&L

- Higher projected cost factored in one time migration costs relating to WH migration from PHD WH to other WHs, though still expecting lower numbers once actualized

Choice and SLS

- Toplines overachieved benefiting from the aggressive spending in March
- P&L reflecting positive impact coming from the higher absolute volume for each BU

Temu business metrics: Temu SEA performance kept stable as there was no major campaigns/ heavy rebates in Feb

Temu[1] CB business metrics [Dec 24 – Feb 25]

Data from CNCB CI – to be cross-checked with multiple sources

SHP CB vs. TEMU CB		US	EU[2]	BR	MX	CL	CO	PH	MY	TH	VN	Others[3]	Global
ADO(k)	202502	1,269	1,879	45	221	51	91	130	37	87	0	724	4,534
	202501	1,464	1,843	38	208	41	79	137	38	86.1	-	764	4,697
	202412	1,777	2,275	39	214	38	80	123	37	79.4	1.6	1,000	5,665
	Feb vs Jan delta	*-13.3%*	*2.0%*	*21.2%*	*6.4%*	*25.2%*	*14.4%*	*-5.2%*	*-3.3%*	*1.1%*	*-*	*-5.2%*	*-3.5%*
ADG(k$)	202502	43,238	52,940	1,044	6,101	1,099	1,524	1,016	298	992.8	-	21,459	129,713
	202501	49,892	51,909	896	5,733	878	1,331	1,072	307	947.5	-	22,609	135,575
	202412	64,074	63,281	990	5,926	833	1,337	960	301	834.0	13.8	29,609	168,159
	Feb vs Jan delta	*-13.3%*	*2.0%*	*16.6%*	*6.4%*	*25.2%*	*14.4%*	*-5.2%*	*-3.0%*	*4.8%*	*-*	*-5.1%*	*-4.3%*
ABS($)	202502	34.1	28.2	23.0	27.6	21.7	16.8	7.8	8.1	11.4	-	29.6	28.6
	202501	34.1	28.2	23.9	27.6	21.7	16.8	7.8	8.1	11.0	-	29.6	28.9
	202412	36.1	27.8	25.3	27.6	21.7	16.8	7.8	8.1	10.5	8.8	29.6	29.7
	Feb vs Jan delta	*0.0%*	*0.0%*	*-3.8%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.3%*	*3.6%*	*-*	*0.1%*	*-0.9%*

Highlights

1. **Global ADO declined by 4%, primarily driven by US market:** In early Feb, the cancellation of T86 policy led to forced reductions in Temu US OM spending and also led to a sharp order drop in full-consignment, resulting a decline in overall orders
2. **LATAM ADG & ADO increased:** BR increased 21.2% and MX increased 6.4% in ADO, as OM spending shifted towards LATAM in Feb following budget reductions in US. The shift was particularly evident in BR site, where a pre-Carnival sales campaign helped drive incremental growth

Notes: 1) Temu US performance calculation combined inputs from expert, YipitData and data.ai. Non-US ADO by site data are estimated based on expert input, Yipit data and historical ADO/DAU ratio of Temu US; 2) Temu EU includes 30 countries including all key sites (UK, DE, FR, ES, NL, IT, etc.); 3) Others include Canada/Australia/New Zealand/South Korea/Japan/Middle East & Africa
Source: Yipit data, data.ai, expert interview

Temu business metrics: SHP/TEMU multiples remained stable globally, while SEA multiples were affected by CNY-related shipping delays from SHP CB sellers

Temu CB business metrics [Dec 24 – Feb 25]

Data from CNCB CI – to be cross-checked with multiple sources

SHP CB vs. TEMU CB[1)]		BR	MX	CO	CL	PH	MY	TH	VN	TTL
ADO(k)	202502	5.1x	0.0x	0.0x	0.1x	6.2x	10.2x	4.9x	-	0.6x
	202501	6.5x	0.0x	0.1x	0.1x	6.4x	10.8x	5.2x	-	0.6x
	202412	4.8x	0.0x	0.1x	0.2x	7.8x	11.9x	5.7x	555.7x	0.6x
	Feb vs Jan delta	*-1.4x*	*0.0x*	*0.0x*	*0.0x*	*-0.3x*	*-0.7x*	*-0.3x*	-	*0.0x*
ADG(k$)	202502	2.8x	0.0x	0.0x	0.1x	5.0x	11.5x	3.4x	-	0.2x
	202501	3.3x	0.0x	0.0x	0.1x	5.0x	11.9x	3.6x	-	0.2x
	202412	2.4x	0.0x	0.0x	0.1x	6.4x	12.9x	4.4x	243.9x	0.1x
	Feb vs Jan delta	*-0.5x*	*0.0x*	*0.0x*	*0.0x*	*-0.1x*	*-0.4x*	*-0.2x*	-	*0.0x*
ABS($)	202502	0.5x	0.8x	0.7x	0.9x	0.8x	1.1x	0.7x	-	0.3x
	202501	0.5x	0.7x	0.6x	0.8x	0.8x	1.1x	0.7x	-	0.3x
	202412	0.5x	0.7x	0.6x	0.8x	0.8x	1.1x	0.8x	0.4x	0.3x
	Feb vs Jan delta	*0.0x*	*0.0x*	*0.1x*	*0.0x*	*0.0x*	*0.0x*	*0.0x*	-	*0.0x*

Highlights

1. **SHP global multiples stayed stable:** SHP/TEMU ADO at 0.6x, SHP/TEMU ADG ratio at 0.2x
2. **SEA multiples weakened in Feb:** SHP underperformed while TEMU remained stable. SHP's performance was impacted by seasonal softness and the impact of CNY-related shipping delays from SHP cross border sellers, while Temu mitigated the risk through pre-holiday inventory stocking

Notes: 1) Using SHP CB total data to calculate the ratio
Source: Yipit data, data.ai, expert interview

PH semi-consignment update: PH entered semi-consignment, while given the limited seller interest and weak price competitiveness, Temu may take more time to build 'local' brand image

Temu PH semi-consignment progress & sellers' sentiment

Temu movement

Temu ramped up seller BD efforts with favorable policies

- **PH CNLS seller BD:** Local BD conference, mainly targeting CNLS type 1 sellers
- **Flexible pricing policy:** No price adjustment beyond initial settlement to rapidly expand local SKU base
- **Seller ads:** Disabled at present

Seller sentiment

Pitched CNLS sellers showed high willingness to join while with low commitment

- High willingness to join: Willing to expand selling channels
- Low commitment: Most sellers regard Temu as a clearance channel due to low traffic

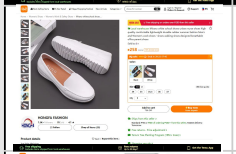
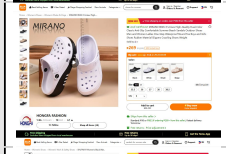
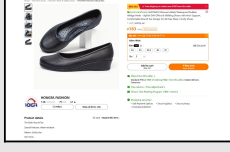
*"**Temu has built a community of 500+ sellers,** including some major players in PH. Local sellers actively test new platforms. But, we treat it as a trial channel due to PDD's mixed reputation. Seller decisions largely depend on the platform's traffic potential and local support efforts.*

—— 泉州淳睿贸易CEO, CNLS Type 1 seller"

We expect that Temu is unlikely to quickly establish a strong "local" brand image in PH, as sellers have shown limited interest and current pricing lacks competitiveness

Temu PH semi-consignment pricing policy

- **Flexible settlement price:** No price adjustments based on seller settlement price
- **Front-end selling price:** 10% mark-up based on seller settlement price
- As a result, for identical products, Temu's selling prices are significantly higher than those on Shopee

TEMU	Temu Price (PHP)	SHP Price (PHP)	Price Delta(%)
	258	154	+67.53%
	269	159	+69.18%
	183	129	+41.86%

Notes: 1) For situation with multiple prices in the same product link, the table applyed the lowest displayed price as the benchmark for all calculations
Source: Expert inputs, open source

Temu PH semi assortment analysis: Temu PH semi-consignment is still in its early stage, with limited SKU count, high category concentration, and high ASP compared with Temu PH overall

Temu PH semi-consignment SKU distribution by L1 category (Ranking by GMV%)

	Semi Consignment				Overall Pool			
Temu L1 category	SKU count	ASP ($)	Sold count %	GMV %	SKU count	ASP ($)	Sold count %	GMV %
Home & Kitchen	428	4.0	32.6%	20.1%	1,876	2.6	9.8%	9.9%
Furniture	64	21.6	3.9%	12.8%	72	5.2	0.2%	0.3%
Patio, Lawn & Garden	57	14.1	5.0%	10.8%	317	3.3	1.4%	1.8%
Sports & Outdoors	70	9.0	3.4%	4.7%	1,710	2.9	8.0%	8.9%
Featured	169	3.8	7.8%	4.5%	1,052	2.7	4.2%	4.3%
Bags & Luggage	81	8.5	3.1%	4.0%	1,058	3.1	3.9%	4.7%
Appliances	44	6.5	3.5%	3.5%	455	4.0	2.3%	3.5%
Electronics	63	13.7	1.6%	3.3%	559	4.0	2.5%	3.9%
Office & School Supplies	47	5.3	4.1%	3.3%	933	2.3	4.1%	3.7%
Automotive	106	4.5	4.2%	2.9%	1,066	2.8	4.8%	5.2%
Women's Clothing	66	5.5	3.2%	2.6%	172	5.3	0.5%	1.0%
Women's Shoes	98	5.8	2.9%	2.6%	340	2.7	1.7%	1.8%
Tools & Home Improvement	67	6.1	2.7%	2.5%	1,002	2.5	5.3%	5.0%
Health & Household	48	5.9	2.8%	2.5%	707	1.7	3.8%	2.4%
Jewelry & Accessories	108	4.1	3.9%	2.5%	2,126	1.7	10.1%	6.8%
Cell Phones & Accessories	38	12.4	1.2%	2.2%	760	3.0	3.4%	3.9%
Toys & Games	62	7.2	1.6%	1.8%	864	2.7	4.1%	4.3%
Business, Industry & Science	38	5.1	2.1%	1.6%	1,060	2.9	4.8%	5.3%
Pet Supplies	44	8.7	1.2%	1.6%	600	2.2	2.8%	2.4%
Beauty & Health	86	2.1	4.4%	1.4%	1,683	1.6	8.8%	5.5%
Kids' Fashion	59	7.3	1.0%	1.2%	807	2.4	3.8%	3.4%
Total	**1,984**	**6.5**	**100.0%**	**100.0%**	**21,427**	**2.6**	**100.0%**	**100.0%**

Highlights

1. **Temu PH semi limited presence:** crawler data shows that Temu PH semi only accounts **for less than 0.5%** of total front-end SKUs, with **only 1,984 semi SKUs** having **generated orders**
2. **High category concentration:** Top 5 categories contribute to **over 50% sold count and GMV** under semi, whereas the overall(incl. full-consignment) distribution is more balanced
3. **Higher ASP than Temu PH overall:** ASP for Temu PH semi items is **$6.5**, compared to **$2.6** for overall assortment. This aligns with Temu's strategy of using the semi model to **expand selection** and **drive user retention** while maintaining **flexibility in seller price nego**

Notes: 1) Temu L1 categories with GMV contribution of less than 1% are omitted from above chart for readability; 2) SKU count only includes SKUs with sold count > 0;
Source: Temu PH semi data based on DC crawler data from Mar 18, 2025; Temu PH overall data based on Feb '25 price check item list

Temu PH semi matched SKU analysis (1/2): Temu PH semi follows SHP local in assortment build up as indicated by the high match rate; SHP shows strong price comp in Temu PH semi top cates

Temu PH semi-consignment matched SKUs by L1 category

Temu L1 category	Matched SKU #	SHP match rate (%)	SHP SKU local (%)	Temu ASP ($)	SHP ASP ($)	SHP net comp
Home & Kitchen	256	89.2%	74.6%	3.6	3.1	40.2%
Furniture	33	86.8%	81.8%	17.4	12.0	72.7%
Patio, Lawn & Garden	27	81.8%	77.8%	8.9	6.8	55.6%
Sports & Outdoors	28	82.4%	53.6%	9.4	9.8	-10.7%
Featured	85	88.5%	81.2%	3.5	3.0	37.6%
Bags & Luggage	31	81.6%	58.1%	9.9	9.6	9.7%
Appliances	23	85.2%	65.2%	5.4	4.4	4.3%
Electronics	25	89.3%	64.0%	8.2	10.2	-12.0%
Office & School Supplies	22	100.0%	77.3%	3.5	3.1	18.2%
Automotive	50	86.2%	56.0%	3.4	3.3	20.0%
Women's Clothing	23	76.7%	39.1%	6.3	7.7	21.7%
Women's Shoes	36	72.0%	86.1%	5.3	3.4	83.3%
Tools & Home Improvement	27	79.4%	63.0%	5.0	4.7	14.8%
Health & Household	28	90.3%	60.7%	2.6	1.8	28.6%
Jewelry & Accessories	44	80.0%	38.6%	3.5	3.5	18.2%
Cell Phones & Accessories	16	84.2%	87.5%	13.6	10.9	50.0%
Toys & Games	26	92.9%	76.9%	5.0	4.0	26.9%
Business, Industry & Science	18	85.7%	61.1%	2.6	2.3	33.3%
Pet Supplies	16	84.2%	68.8%	7.4	6.7	-6.3%
Beauty & Health	36	92.3%	44.4%	2.1	1.7	33.3%
Kids' Fashion	9	60.0%	44.4%	5.7	4.1	100.0%
Total	**901**	**85.3%**	**68.6%**	**5.4**	**4.7**	**32.3%**

Highlights

We conducted small pool check on Temu top selling SKUs to analyze **Temu product selection criteria** and **overlap with SHP hot sellers**.

1. **High SHP coverage: 85%** of top-selling Temu PH semi SKUs have a **matching SKU on the SHP PH site**
2. **Similarity to SHP local assortment:** Among matched SKUs, **69%** of SHP items are **local**, compared with **55%** in the Feb '25 price check pool, indicating that Temu semi **follows SHP local hot-selling listings**
3. **SHP price advantage:** SHP maintains a **32% net comp.**, with a **lower ASP** ($4.7 vs. Temu's $5.4), particularly in Temu PH semi's top categories

Notes: 1) Temu L1 categories with GMV contribution of less than 1% are omitted from above chart for readability; 2) Matched SKU pool consists of Temu PH semi SKUs with total sold count > 2
Source: Temu PH semi data based on DC crawler data from Mar 18, 2025; Temu PH overall data based on Feb '25 price check item list

Temu PH semi matched SKU analysis (2/2): Among Temu hot selling SKUs, 37% of SHP matches are also hot sellers, indicating that Temu aligns its assortment with SHP hot selling products

Temu PH semi-consignment matched SKUs by L1 category

Temu L1 category	Matched SKU #	# Temu SKU is hot selling	# SHP match is hot selling	SHP match hot selling %
Home & Kitchen	256	63	27	42.9%
Furniture	33	11	5	45.5%
Patio, Lawn & Garden	27	14	5	35.7%
Sports & Outdoors	28	5	3	60.0%
Featured	85	20	7	35.0%
Bags & Luggage	31	9	3	33.3%
Appliances	23	6	1	16.7%
Electronics	25	3	1	33.3%
Office & School Supplies	22	6	1	16.7%
Automotive	50	8	3	37.5%
Women's Clothing	23	5	1	20.0%
Women's Shoes	36	8	3	37.5%
Tools & Home Improvement	27	8	0	0.0%
Health & Household	28	7	2	28.6%
Jewelry & Accessories	44	9	2	22.2%
Cell Phones & Accessories	16	2	1	50.0%
Toys & Games	26	4	0	0.0%
Business, Industry & Science	18	9	5	55.6%
Pet Supplies	16	3	2	66.7%
Beauty & Health	36	10	3	30.0%
Kids' Fashion	9	2	2	100.0%
Total	**901**	**218**	**81**	**37.2%**

Temu matched SKU ADI distribution

ADI	SKU #	Acc. sold count %
2	20	24.1%
1	57	41.9%
0.5	138	60.2%
0.3	218	70.6%
0.2	330	80.0%
0.1	618	93.2%
All	901	100.0%

SHP matched SKU ADI distribution

ADI	SKU #	Acc. sold count %
50	34	63.5%
20	79	81.0%
10	121	88.3%
5	188	94.2%
2	277	97.8%
1	342	98.9%
All	901	100.0%

Definition of hot selling:
- *SHP: ADI > 1 (covering 70% of sold count in matched SKU pool)*
- *Temu: ADI > 0.3 (covering 99% of sold count in matched SKU pool)*

Highlights

We identified Temu and SHP hot selling SKUs within the matched SKU pool.

1. **Temu PH semi sales are low and scattered:** Among matched SKUs, only **57** Temu SKUs have **ADI greater than 1** (vs. **342** SHP SKUs). These high-ADI SKUs only make up **42% of total sold count**, compared with **99%** for SHP
2. **Temu semi hot selling high overlap with SHP:** Among Temu hot selling SKUs in matched SKU pool, **37% of SHP matched SKUs** are also **SHP hot sellers**, indicating that **Temu follows SHP hot selling items for assortment build up**, with these items also becoming top sellers on Temu

Notes: 1) Temu L1 categories with GMV contribution of less than 1% are omitted from above chart for readability; 2) Matched SKU pool consists of Temu PH semi SKUs with total sold count > 2;; 3) ADI estimated by total front-end sold count / number of days between launch date and crawler data date; 4) Accumulated sold count as % of total sold count from matched SKU pool.
Source: Temu PH semi data based on DC crawler data from Mar 18, 2025; Temu PH overall data based on Feb '25 price check item list

Temu PH: Temu's Mar ADO estimated to be ~130K; Still collecting intel on local vs CB split, but local SKU listings coverage at 8%

User Metrics		# Absolute						MoM%		
		Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Jan-25	Feb-25	Mar-25
Temu	DAU	776,908	704,896	709,759	807,767	754,347	788,199	13.8%	-6.6%	4.5%
	ADO	89,391	123,746	123,139	137,387	130,242	136,087	11.6%	-5.2%	4.5%
	CR% (ADO/DAU)	11.51%	17.56%	17.35%	17.01%	17.27%	17.27%	-2.0%	1.5%	0.0%
	ADG	1,049,668	1,453,069	1,445,949	1,613,246	1,529,354	1,563,499	11.6%	-5.2%	2.2%
	ABS	11.7	11.7	11.7	11.7	11.7	11.5	0.0%	0.0%	-2.2%
Shopee	DAU	16,105,665	16,611,990	17,538,042	16,998,222	16,879,457	16,998,222	-3.1%	-0.7%	0.7%
	ADO	3,251,421	3,916,189	4,369,959	4,011,587	3,705,074	4,029,162	-8.2%	-7.6%	8.7%
	CR% (ADO/DAU)	20.19%	23.57%	24.92%	23.60%	21.95%	23.70%	-5.3%	-7.0%	8.0%
	ADG	25,150,762	28,474,917	31,454,810	27,575,238	26,396,926	27,900,187	-12.3%	-4.3%	5.7%
	ABS	$7.7	$7.3	$7.2	$6.9	$7.1	$6.9	-4.5%	3.6%	-2.8%

**Temu started the local sourcing business from Feb. ADO split is based on numbers of local SKUs coverage*

- Assumed
- Calculated
- Intel

Topic 2a: Commercial - SLS

SLS Mar'25 Performance | SLS Non-Choice and SCS grew faster than platform, mainly driven by increased platform spending in March, which positively lifted low ASP categories

PHCB Overall Performance			Actual Jan 2025	Actual Feb 2025	Actual Mar 2025	MoM
PLT	ADO		4,011,587	3,733,135	4,029,361	7.9%
PLT	ADGMV		27,575,238	26,412,829	27,895,563	5.6%
PLT	ABS		6.87	7.08	6.92	-2.2%
CB	ADO	Total	**884,070**	**807,746**	**934,111**	**15.6%**
CB	ADO	SLS MP	545,247	474,989	541,476	14.0%
CB	ADO	LFF MP	256,629	251,121	292,006	16.3%
CB	ADO	SCS	69,906	69,612	88,249	26.8%
CB	ADO	Lovito	12,288	12,024	12,380	3.0%
CB	ADO% to Platform	Total	**22.0%**	**21.6%**	**23.2%**	**1.5%**
CB	ADO% to Platform	SLS MP	13.6%	12.7%	13.4%	0.7%
CB	ADO% to Platform	LFF MP	6.4%	6.7%	7.2%	0.5%
CB	ADO% to Platform	SCS	1.7%	1.9%	2.2%	0.3%
CB	ADO% to Platform	Lovito	0.3%	0.3%	0.3%	0.0%
CB	ADGMV	Total	**5,397,482**	**5,053,021**	**5,470,714**	**8.3%**
CB	ADGMV	SLS MP	3,503,840	3,184,780	3,418,822	7.3%
CB	ADGMV	LFF MP	1,625,921	1,606,450	1,771,763	10.3%
CB	ADGMV	SCS	191,052	186,540	201,252	7.9%
CB	ADGMV	Lovito	76,669	75,251	78,877	4.8%
CB	ADGMV% to Platform	Total	**19.6%**	**19.1%**	**19.6%**	**0.5%**
CB	ADGMV% to Platform	SLS MP	12.7%	12.1%	12.3%	0.2%
CB	ADGMV% to Platform	LFF MP	5.9%	6.1%	6.4%	0.3%
CB	ADGMV% to Platform	SCS	0.7%	0.7%	0.7%	0.0%
CB	ADGMV% to Platform	Lovito	0.3%	0.3%	0.3%	0.0%
CB	ABS	Total	**6.11**	**6.26**	**5.86**	**-0.40**
CB	ABS	SLS MP	6.43	6.70	6.31	-0.39
CB	ABS	LFF MP	6.34	6.40	6.07	-0.33
CB	ABS	SCS	2.73	2.68	2.28	-0.40
CB	ABS	Lovito	6.24	6.26	6.37	0.11

Key Highlights

- ADO growth mainly driven by the low ASP categories below:
  - **Mobiles Accessories (MoM +15%, 22% contrib to growth)**: trendy and cheap phone cases and powerbanks
  - **Women Accessories (MoM +36%, 18% contrib to growth):** Hair accessories and jewelry
  - **Makeup & Fragrances (MoM +22%, 11% contrib to growth):** Nails and eye makeup

Data as of 31-Mar-2025
SLS and LFF numbers are non-Choice
SCS and Lovito numbers are total (SLS+LFF)

Topic 2b: Commercial - SCS

PH SCS: Mar and Feb ADO and PnL all on track; Mar and Feb PC3 improvement mainly driven by ADO outperformed and UE improvement driven by channel CPO optimization.

PH SCS	28Feb	31Mar	28Feb vs 28Jan
	Actual	*Est*	*MoM*
Actual & Lastest Projection			
ADO	69,176	88,249	19,073
ABS	$2.7	$2.3	-$0.4
ADGMV	$185,598	$201,252	$15,654
PC3PO (Discounted View)	$0.4	$0.4	$0.0
PC3 Total$	$774,225	$926,640	$152,415
SG&A	-$663,876	-$732,669	-$68,793
Shop P&L	$110,349	$193,971	$83,622
Budget Submission			
ADO	44,448	63,375	18,927
ABS	$2.9	$2.6	-$0.3
ADGMV	$128,900	$166,018	$37,118
PC3PO (Discounted View)	$0.4	$0.3	-$0.1
PC3 Total$	$476,499	$548,737	$72,238
SG&A	-$879,155	-$853,919	$25,236.0
Shop P&L	-$402,656	-$305,181	$97,475
Delta			
ADO	24,728	24,874	/
ABS	-0.2	-0.3	/
ADGMV	56,698	$35,234	/
PC3PO (Discounted View)	0.0	0.1	/
PC3 Total$	297,726	377,903	/
SG&A	215,279	121,250	/
Shop P&L	513,005	499,152	/

31 Mar and 28 Feb Performance

1. **Mar ADO and PnL on track**, achieve better PC3 vs target (+378 k). PC3 improvement driven by:
   - ADO overachieved target (+25 k)
     - **Higher FSV usage:** platform increase FSV quota leading to higher FSV usage and FSV ADO% +12% vs Feb
     - **Specified operation strategy towards seasonal product:**
       - Leverage top search keywords and CB teams' inputs to **recognize trendy and seasonal products, for example acne patch**
       - Launch specified operational strategy towards seasonal products, including **offering price rebate, launching summer products collection and campaign, allocating more channel traffic**
   - UE overachieved target (+0.1) , driven by channel CPO optimization
2. **Feb ADO and PnL on track**, achieved better PC3 vs target(+298 k), PC3 improvement driven by
   - CNY impact: higher pene% since SCS kept operate during CNY holiday
   - Price optimization: kept fixing price of negative pnl items and kept PC3PO flat compared to Jan

Topic 2c: Commercial - Lovito

PH Lovito Performance: Mar ADO and PC3 met target, Feb ADO met the target but PC3 miss, mainly due to S&R imp impact

PH Lovito	25Feb *Actual*	25Mar *Actual*	28Feb vs 28Jan *MoM*
Actual			
ADO	12,043	12,380	337
ABS	$6.26	$6.37	$0.11
ADGMV	$75,413	$78,878	$3,466
PC3PO (Discounted View)	$0.37	$0.61	$0.24
PC3 Total$	$107,501	$203,772	$96,271
SG&A	-$203,206	-$341,434	-$138,228
Shop P&L	-$95,706	-$41,957	$53,749
Budget Submission			
ADO	10,286	10,704	418
ABS	$6.25	$6.14	-$0.11
ADGMV	$64,287	$65,697	$1,411
PC3PO (Discounted View)	$0.59	$0.21	-$0.38
PC3 Total$	$146,715	$59,141	-$87,574
SG&A	-$483,579	-$424,205	$59,375
Shop P&L	-$336,864	-$365,064	-$28,200
Delta			
ADO	2a 1,757	1a 1,676	-81
ABS	$0.01	$0.23	$0.22
ADGMV	$11,126	$13,181	$2,055
PC3PO (Discounted View)	2b -$0.22	$0.41	$0.62
PC3 Total$	-$39,215	$144,631	$183,846
SG&A	$280,373	$82,770	-$197,603
Shop P&L	$241,158	$323,107	$81,949

25Mar and 25Feb Performance

1 25Mar ADO and PC3 met target due to

- **Platform uptrend,** fighting aggressively for MKT share with more PRM spending, CBWA ADO MoM +18%
- **Channel optimization and pricing adjustment,** PC3PO mom +$0.24, vs target +$0.41,with External MKT CPO -$0.12, ABS MoM +$0.11

2 25Feb ADO meet target but PC3 miss target due to

- **3.5% GMV ads support live from Feb 20**: ~37K free ads credit from Lovito program, as reward for first half of Feb achieve 18% incremental vs target
- **S&R** imp MoM -37% ADO MoM -46% due to series of S&R guidelines and initiatives update, incl. PID criteria update, cheapest and replacement experiment etc.
- **Increase CPAS Ads KOL investment to catch up S&R lost**: CPAS mom +$0.02, Ads +$0.05, KOL +30 posts

Next Step

- To align with PH side for scale expansion with more resource support after March UE optimization
- Channel investment optimization to maintain a healthy PC3
- Lovito all sites are revisiting refine by assortment and operation team

Private & Confidential

Topic 3a: MP LFF and Choice LFF

CB LFF Mar'25 Performance | Overall LFF and SBS Non-Choice met targets; slight decline in ADO% driven by faster SLS growth from increased platform spending

LFF ADO	Actuals			MoM	Ach Rate	Targets		
	Jan	Feb	Mar	Mar		Jan	Feb	Mar
Total LFF	**272,712**	**266,611**	**306,450**	**14.9%**	**113.3%**	**233,286**	**222,365**	**270,452**
SBS	**55,266**	**56,437**	**66,127**	**17.2%**	**107.1%**	**62,234**	**51,099**	**61,721**
Non-Choice	39,183	40,069	44,234	10.4%	101.5%	46,440	41,695	43,590
- CN	36,939	37,763	42,039	11.3%	103.1%	43,594	38,649	40,758
- KR	2,244	2,306	2,195	-4.8%	77.5%	2,846	3,046	2,832
SCS	14,873	14,983	20,844	39.1%	121.5%	14,158	8,890	17,159
Lovito	1,210	1,385	1,048	-24.3%	107.9%	1,636	514	972
3PF WH	**217,446**	**210,174**	**240,323**	**14.3%**	**115.1%**	**171,052**	**171,266**	**208,731**
LFF ADO% to CB	**30.85%**	**33.21%**	**32.81%**	**-0.4%**	**103.2%**	**30.20%**	**26.10%**	**31.78%**
SBS	**6.25%**	**7.03%**	**7.08%**	**0.0%**	**97.6%**	**8.00%**	**6.00%**	**7.25%**
Non-Choice	4.43%	4.99%	4.74%	-0.3%	92.4%	6.00%	4.90%	5.12%
- CN	4.18%	4.70%	4.50%	-0.2%	94.0%	5.64%	4.54%	4.79%
- KR	0.25%	0.29%	0.23%	-0.1%	70.6%	0.37%	0.36%	0.33%
SCS	1.68%	1.87%	2.23%	0.4%	110.7%	1.80%	1.00%	2.02%
Lovito	0.14%	0.17%	0.11%	-0.1%	98.3%	0.20%	0.10%	0.11%
3PF WH	**24.60%**	**26.18%**	**25.73%**	**-0.4%**	**104.9%**	**22.10%**	**20.10%**	**24.53%**
LFF ADO% to PLT	**6.80%**	**7.20%**	**7.61%**	**0.4%**	**107.8%**	**6.20%**	**5.90%**	**7.05%**

Data as of 31-Mar-2025

Key Highlights:

- **Total LFF:** ADO 306.5k (MoM +14.9%, RR 113.3%)
- **SBS (Non-Choice):** ADO 66.1k (MoM +17.2%, RR 107.1%)
  - KR underperformed due to OOS issues of multiple key sellers (COSRX, Julyme, and Mediheal). All sellers have replenished during Mar 2nd half
- **3PF:** ADO 240.3k (MoM +14.3%, RR 115.1%)
- **SBS (SCS):** ADO 20.8k (MoM +39.1%, RR 121.5%)
  - Growth mainly driven by additional FSV injection
- **SBS (Lovito):** ADO 1.0k (MoM -24.3%, RR 107.9%)
  - Paused SKU replenishment due to product price adjustment done to achieve breakeven P&L

Next Steps:

- PHD Sunset Migration completed for PHE; on-going for PHB. Full migration to new destination WHs targeted by end-April.
- Revamp SBS pitch deck to support SMT teams in effectively communicating SBS benefits to sellers
- Collaborating with Reg PMO and Fulfillment Ops to address seller-reported operational issues contributing to negative sentiment

Topic 3b: Operations

XDD | SLA still strong, actual ADO% to CB stays on target for Apr, to continue SKU whitelisting to further improve enabled ADO%

Buyer region	Actual ADO% to CB				Enabled ADO% to buyer region				Enabled ADO% to CB				Enabled to Actual CR% (to CB)			
	Feb	Mar	Apr MTD	Target	Feb	Mar	Apr MTD	Target	Feb	Mar	1 Apr MTD	Target	Feb	Mar	Apr MTD	Target
Metro Manila	7%	8%	6%		53%	58%	55%		10%	11%	10%		63%	75%	60%	
GMA	6%	7%	5%		52%	56%	54%		9%	10%	9%		64%	75%	59%	
Luzon	6%	9%	6%		44%	48%	46%		13%	14%	14%		50%	61%	48%	
Visayas	2%	3%	2%		22%	23%	22%		4%	4%	4%		60%	72%	57%	
Entire PH	21%	27%	20%	18%	43%	47%	45%	40%	36%	39%	37%	40%	58%	69%	55%	46%

Buyer region	SLA%				SLS BWT (excl. Sea Shipping)			
	2 Feb	Mar	Apr MTD	Target	Feb	Mar	Apr MTD	Target
Metro Manila	95%	96%	97%	90%	5.44	4.58	4.55	4.75
GMA	95%	96%	97%	90%	5.39	4.53	4.50	4.85
Luzon	96%	96%	97%	90%	6.30	5.43	5.51	5.82
Visayas	97%	96%	93%	90%	7.59	6.74	6.86	7.44
Entire PH	95%	96%	96%	90%	6.82	5.89	6.17	6.34

Apr MTD - as of 03-Apr-2025

Key Highlights:

1. Adhoc shop-level whitelisting to be done next week to catch-up.
2. Consistently high SLA% provides the foundation for a more aggressive expansion strategy. *See next slide for expansion roadmap*.

XDD | By Q2 2025: CNPH to achieve full Luzon coverage and further expand in VISMIN region; IDPH/KRPH to broaden Luzon reach. ADO% to CB projected at 36% (Actual) and 50% (Enabled)

Expansion Roadmap

Channel	Zone	Region	Delivery Promise	Cities	Timeline	Status
CNPH	A	MM/GMA	5DD	All	2024	Launched
	B	Luzon	5DD	7 Cities	Nov 2024	Launched
			6DD	16 Cities	Jan 2025	Launched
			6DD	Rest of Cities (10 Cities)	Apr 2025	To Launch
	C	Visayas	6DD	2 Cities	Jan 2025	Launched
			TBD	Select 14 Cities	Q2 2025	To Launch
	D	Mindanao	TBD	Select 12 Cities	Q2 2025	To Launch
IDPH	A	MM/GMA	5DD	All	2024	Launched
	B	Luzon	5DD	7 Cities	Q2 2025	To Launch
			6DD	16 Cities	Q2 2025	To Launch
KRPH	A	MM/GMA	5DD	All	2024	Launched
	B	Luzon	5DD	7 Cities	Q2 2025	To Launch
			6DD	16 Cities	Q2 2025	To Launch

1

2

Key Highlights:

1. Increased flight frequency enables XDD expansion to major cities in Zone D (Mindanao); on-going alignment with SLS team to finalize delivery promise
2. IDPH/KRPH roll-out to existing CNPH XDD cities to minimize risk and leverage stable SLA% for these areas

SPX Integration for Non-CNCB Lanes | High ADO lanes with MNL drop-offs have launched in Q1; Current SPX coverage limits faster integration across additional lanes and regions

Deployment Timeline

Type	Origin	Channel ID	Channel Type	Priority	Arrival Airport	SPX ADO	SPX ADO% to Channel	Timeline	Status
Non-CNCB Lanes	ID	48022	Express (5DD)	P0	MNL	3,067	99.5%	Feb 10, 2025	Launched
				P0	MNL	8,538	94.5%	Feb 17, 2025	Launched
		48006	Standard	-	CEB	-	-	TBD	-
				-	DVO	-	-	TBD	-
	KR	48023	Express (5DD)	P0	MNL	1,111	100.0%	Feb 25, 2025	Launched
		48005	Standard	P1	MNL	4,209	99.0%	Apr 1, 2025	Launched
	MY	48010	Standard	P1	MNL	-	-	Q2 2025	To Launch
				-	CEB	-	-	TBD	-
				-	DVO	-	-	TBD	-
	VN	48007	Standard	P1	MNL	-	-	Q2 2025	To Launch
	JP	48011	Standard	P2	MNL	-	-	Q2 2025	To Launch
	TH	48009	Standard	P2	MNL	-	-	Q2 2025	To Launch

Key Highlights:

1. ADO of launched channels allocated primarily to SPX, leading to SPX coverage close to 100%
2. CEB/DVO roll-out on-hold due to SPX coverage gaps. Continued reliance on J&T to cover unserviceable areas will result in higher costs from multiple drop-off points. Conversely, removing J&T as LM vendor will result in ADO loss in those areas

Fast Shipping Program | CB SDH% at 97.8% and ADO% 84.8% respectively; SDH% on an upward trend following DTS0 policy announcement.

FSP Performance		2024						2025				
Eligibility Month		Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May
Performance Evaluation Period		*May 16 - Jun 15*	*Jun 16 - Jul 15*	*Jul 16 - Aug 15*	*Aug 16 - Sep 15*	*Sep 16 - Oct 15*	*Oct 16 - Nov 15*	*Nov 16 - Dec 15*	*Dec 16 - Jan 15*	*Jan 16 - Feb 15*	*Feb 16 - Mar 15*	*Mar 16 - Apr 15*
SDH% (4pm-4pm)	**CB Total**	**90.3%**	**93.8%**	**92.8%**	**93.8%**	**94.7%**	**94.5%**	**95.2%**	**92.8%**	**96.4%**	**97.2%**	**97.8%**
	- 3PF Total	86.8%	91.4%	90.0%	91.7%	92.6%	92.5%	93.6%	90.9%	95.5%	96.4%	97.0%
	-- Qualified Vendor	86.4%	93.2%	94.2%	95.3%	95.2%	95.8%	96.6%	94.8%	97.7%	98.2%	98.6%
	-- Unqualified Vendor	82.4%	87.5%	87.2%	88.9%	89.7%	90.0%	91.5%	92.2%	94.5%	95.7%	96.3%
	-- Seller-Owned WH	88.3%	91.8%	88.7%	90.7%	92.4%	91.9%	93.0%	87.9%	95.2%	96.2%	96.9%
	- SBS Total	99.5%	99.6%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	99.9%
	Target	**86.0%**	**87.8%**	**89.3%**	**91.6%**	**92.6%**	**93.4%**	**93.9%**	**94.6%**	**94.6%**	**94.6%**	**94.6%**
	Target Achievement	***105.0%***	***106.9%***	***103.9%***	***102.3%***	***102.3%***	***101.2%***	***101.4%***	***98.1%***	***102.0%***	***102.8%***	***103.3%***
ADO%	**CB Total**	**51.5%**	**63.2%**	**58.9%**	**58.6%**	**65.6%**	**64.5%**	**66.0%**	**64.7%**	**81.3%**	**81.2%**	**84.8%**
	- 3PF Total	33.1%	48.7%	44.4%	44.7%	53.2%	52.2%	56.4%	41.5%	69.9%	76.3%	80.3%
	-- Qualified Vendors	20.2%	55.6%	50.5%	69.3%	63.8%	65.5%	72.7%	60.3%	84.2%	88.5%	92.1%
	-- Unqualified Vendors	17.1%	22.6%	20.0%	25.2%	34.2%	40.6%	48.1%	47.6%	61.3%	74.2%	78.7%
	-- Seller-Owned WH	44.5%	53.1%	48.5%	38.1%	54.9%	50.5%	51.8%	23.9%	70.4%	72.7%	76.4%
	- SBS Total	99.3%	99.5%	99.0%	99.0%	98.7%	98.4%	98.2%	97.6%	97.0%	99.1%	99.4%
	Target	**40.7%**	**46.4%**	**53.3%**	**61.8%**	**68.4%**	**72.8%**	**76.1%**	**65.6%**	**65.6%**	**65.6%**	**65.6%**
May Data as	***Target Achievement***	***126.5%***	***136.1%***	***110.4%***	***94.9%***	***95.9%***	***88.6%***	***86.8%***	***98.7%***	***123.9%***	***123.8%***	***129.3%***

Key Highlights:

- All 3PF seller types continuously improving similar to platform trend as sellers prepare for full DTS0 implementation in Jun 2025. (Pilot implementation moved to Apr 21, leniency period ends in Jun 16)

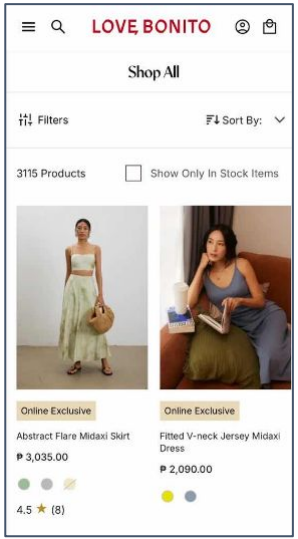
Next Steps:

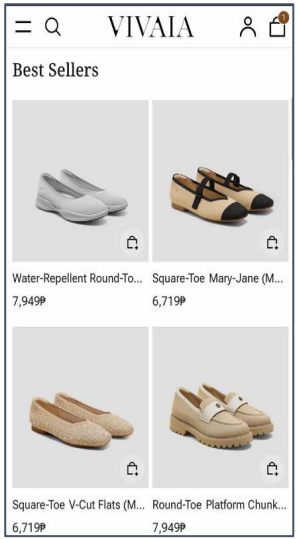
- On-going WeCom migration for CB, Reg/CN CNLS, and Local CNLS sellers. Old WeChat groups have been disbanded last Mar to streamline comms.
- Automated weekly LM escalation reminders have been implemented for SMT teams to accelerate and streamline issue resolution

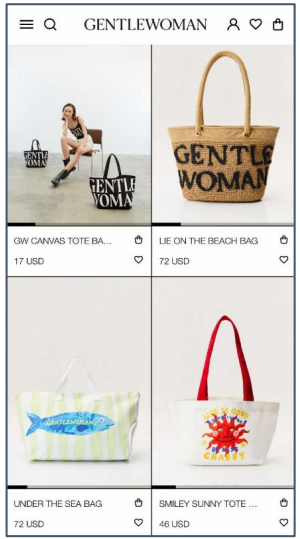
**SDH% (4pm to 4pm COT): on_time / (on_time + Seller fault)*
***FSP ADO%: Total Local ADO of shops meeting FSP / Total Local ADO*

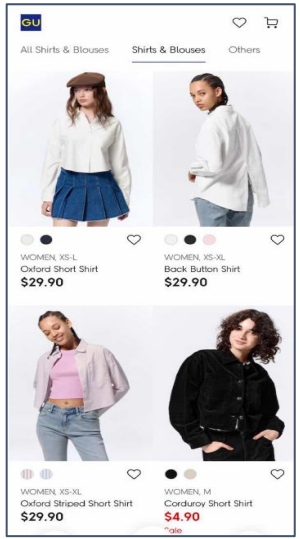
SEA/KR/JP Fashion Brands| 7 brands onboarded so far, need help on acquisition and shop investment

Country	Shop #	Onboarded	PIC	Sample Brands
Singapore	6	0	Regional RBP	Love Bonito, Vivaia, The Paper Bunny
Thailand	8	3	SIP Ops	Madmatter Studio, Gentle Woman, Pomelo Fashion
Japan	2	0	JP SAI	SEIKO, GU
Korea	4	1	KR SAI	Squareline, Find Kapoor
Vietnam	4	3	Vietnam SMT	EROSSKA & CO, DINCOX Shoes
Total	24	7		







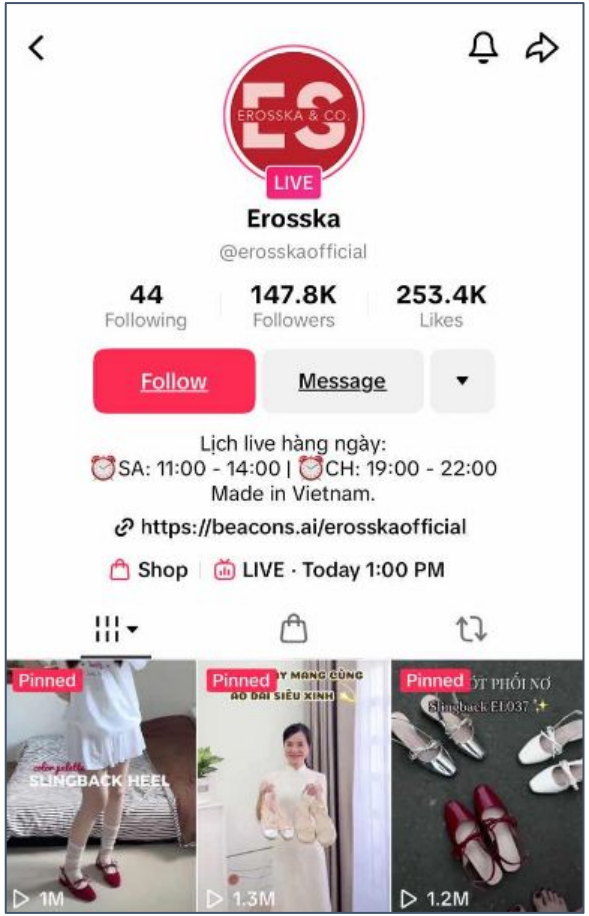


Key Highlights:
Main challenges encountered:

- Slow onboarding progress due to limited SEA market headcount (mainly SG and TH) for seller acquisition and incubation (which can pass to PH CB team)
- Investment from SIP managed shops especially on paid ads
- [Done] updated mall onboarding criteria to adopt local trademark

SEA/KR/JP Fashion Brands| Sample Brand – Erosska Shoes cited as Tiktok Shop Academy "Rising Star", and Shopee Mall Vietnam Mar ADG at $6.8K

A corner of Erosska's store - Photo provided by the Seller



TikTok Shop Academy

Erosska

11/01/2024

Erosska - A Hot Fashion Brand of Shoes and Sandals Along with The Entrepreneurial Journey of Enterprising Men!

Erosska is a fashion brand that focuses on footwear for women, founded by Mr. Nguyen Hung Tuan and his partners. Starting their store with some hesitation, Mr. Tuan and his partners gradually discovered and utilized their strengths effectively, leading to Erosska doubling its sales continuously in 2 months and achieving a record of over 5,000 orders per day.

Initially a Tourism and Hotel Management student with a strong passion for business, Mr. Tuan started his entrepreneurial journey in his third year of university with a capital of 2 million VND. Explaining the reason behind choosing the current brand, Mr. Tuan shared that before establishing Erosska, he had previously operated a brand with a focus on sports shoes and achieved impressive results. However, these products depended on the supply chain in China, which often faced disruptions and instability during peak times. To have a more sustainable direction and build a competitive advantage, Mr. Tuan and his partners aimed to create a purely Vietnamese brand leveraging the country's inherent strength in leather footwear, leading to the establishment of Erosska.

EROSSKA & CO. (Tiktok Shop Academy)

-With own manufacturing capability

-Launched on Tiktok VN in 2023

-4x sales from August 2023 to October 2023.

-Average Orders: 5,000 on TT VN

-Consistently ranks among the top 3 best-selling brands on VN e-comm platforms

-Main Pushes: Brand development, KOL, Video and Live Stream

SEA/KR/JP Fashion Brands| Erosska's assortment are trendy, medium priced, and good quality, making them very unique and incremental to PH Shopee Fashion

PH Assortment

Top Sales | Price | 1/8

Erosska - Women's square toe flip-flops with thin dar...	Erosska - Women's mesh doll shoes with simple...	Erosska Kya - Simple black square toe women's high...	Erosska - Women's doll shoes with mesh polka...	Erosska - Women's open-toe strappy high heel...
฿688 -44%	฿903 -48%	฿709 -50%	฿878 -45%	฿791 -16%
4.4 EXCLUSIVE!	4.4 EXCLUSIVE!	4.4 EXCLUSIVE!	฿180 off	฿180 off
4.8 19 sold/month	4.9 7 sold/month	4.9 5 sold/month	4.8 5 sold/month	4.8 4 sold/month

VN Assortment

Best Seller | Price | 1/10

Mall Erosska - High socks, plain cotton socks for...	Mall Erosska - Women's pointed toe high heels wit...	Mall Erosska Lumina - Women's lolita high heels...	Mall Erosska - Women's high heels with bow, simp...	Mall Erosska - Women's mesh cross-strap doll...
₫7.900 -50%	₫239.000 -52%	₫219.000 -42%	₫189.000 -55%	₫269.000 -46%
Cheapest	Cheapest, Discount ₫30k	Cheapest, Discount ₫30k	Cheapest, Discount ₫30k	Discount ₫100k, Buy to receive gifts
4.9 Sold 10.3k/month	4.9 Sold 1.2k/month	4.9 Sold 964/month	4.9 Sold 855/month	4.9 Sold 823/month

SEA/KR/JP Fashion Brands| Erosska grew quickly with PRM support, while PH will continue with traffic and mall support, more SIP investment needed to unleash potential

EROSSKA & CO	Jan	Feb	Mar	Apr
PH ADGMV	0	$19	$54	$84
ABS	*0*	*$12.7*	*$13.7*	*$12.9*
MoM	*0*	*100%*	*185.40%*	*54.91%*
Total PRM	*0*	*$17*	*$57*	*$27*
VN ADGMV	$10,000	$5,100	$6,800	$5,400

Key Highlights:

- Erosska PH (VN SIP) sees steep MoM growth in ADG after inclusion in cluster SEA Brands Acquisition Wishlist and provision of PRM support starting February 2025
- Traffic support and program participation planned out for April onwards from PH platform side
- Seller currently invests in shop vouchers and campaign pricing; Agreed to send physical samples for livestream features in April
- Mall onboarding in progress already after SIP shop mall criteria updated to allow local trademark instead of PH trademark

Help Needed:

- More traffic (paid ads) investment from SIP

Yellow highlights the adjusted mall criteria for SIP shops

Criteria	Requirement	SIP Remarks
Authenticity Requirements	Business Permit	Required, in country of origin
	Tax Document	Required, in country of origin
	Brand Logo	Required
	Trademark Registration Certificate	Required, in country of origin *Trademark in the country of origin to be accepted; however, subject to mall offboarding risk if another seller with local trademark claims brand ownership. **will still push SIP brands to apply for PH trademark to avoid offboarding risk
	Authorization Letter (for distributors)	Required, distributorship letter should state distributor is allowed in PH country
Market Presence	Have brand logo on product/packaging	Required
	Must meet minimum two of the following: • Have more than 1 physical store in prime location in country of origin • Sold in minimum two recognized ecommerce platforms • Have own brand.com with ecommerce function	Required; big ecommerce reputable ecommerce platforms to be considered are listed below: Sephora.com TH/VN: Amazon, Ali Express, Tiki, Sendo, Qoo10 ID/SG/MY: Amazon, Tokopedia, Ali Express, Berrybenka, Qoo10, Herma
Operational metrics	Policy: Follow the 100% authenticity policy	Required
	SKU: >=10, compliant to SHP Mall listing guidelines	Required
	Non Fulfillment Rate: >=5% L30D	Required
	Inactivity: Not inactive in less than 14 days	Required
	Pre-order Listing: <5%	Required
	Chat Response Rate: >=85% L30D	Required
	Penalty points: 0L4W	Required
	Shop Rating: 4.6 All time	Required
	Late Shipment Rate: >=5% L30D	Required
	Seller Centre Info: At least 1 nominated Bank Account	Required; but nominated bank is based in the country of origin